5 MARKS

1. Define management and explain its importance.

Definition: Management is the process of planning, organizing, directing, and controlling resources (human, financial, physical, and information) to achieve organizational goals effectively and efficiently. As Mary Parker Follett defined it: *"Management is the art of getting things done through others."*

Importance of Management:

- **Achieves Group Goals:** Aligns individual efforts toward a common organizational objective.
- **Optimum Utilization of Resources:** Eliminates waste and ensures men, money, machines, and materials (the 4 Ms) are used efficiently.
- **Reduces Costs:** Through better planning and increased productivity, management brings down the cost of production.
- **Establishes a Sound Organization:** Establishes clear authority and responsibility relationships (who reports to whom).
- **Adapts to Change:** Helps the organization survive in a dynamic business environment (e.g., adapting to new technology).

2. Explain the principles of F.W. Taylor in the field of Scientific Management.

Introduction: Frederick Winslow Taylor is known as the "Father of Scientific Management." He advocated for replacing traditional "rule of thumb" methods with scientifically studied work processes to maximize efficiency.

The Four Key Principles:

1. **Science, Not Rule of Thumb:** Instead of relying on intuition or past habits, every job should be analyzed scientifically to find the "one best way" to do it (using time and motion studies).
2. **Harmony, Not Discord:** There must be complete mental revolution and mutual trust between management and workers. They should realize they need each other.
3. **Cooperation, Not Individualism:** Work should be done in cooperation. Management should listen to workers' suggestions and reward them for good ideas.
4. **Development of Each Person to Greatest Efficiency:** Workers should be scientifically selected, trained, and assigned tasks that suit their physical and intellectual capabilities.

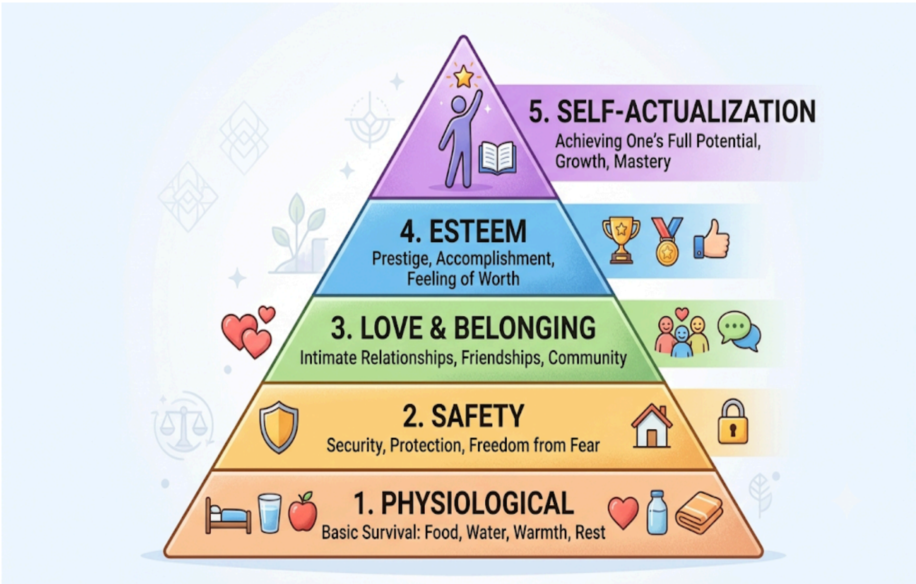
3. Explain Abraham Maslow's Hierarchy of Needs.

Introduction: Abraham Maslow proposed that human motivation is based on a hierarchy of five needs. As one level of need is satisfied, it no longer motivates, and the individual moves up to the next level.

The Hierarchy (from bottom to top):

1. **Physiological Needs:** Basic survival needs (food, water, shelter). *Industrial context:* Base salary, cafeteria, basic working conditions.
2. **Safety Needs:** Physical and economic security. *Industrial context:* Job security, safe working conditions, health insurance, pension plans.

3. **Social/Belonging Needs:** Love, affection, and acceptance. *Industrial context:* Teamwork, friendly supervision, company outings.
4. **Esteem Needs:** Self-respect, recognition, and status. *Industrial context:* Job titles, awards, promotions, spacious offices.
5. **Self-Actualization Needs:** The desire to reach one's full potential. *Industrial context:* Challenging work, autonomy, opportunities for innovation.



4. Management: Art or Science? Explain.

Introduction: Management is considered to be both an art and a science. It combines systematic knowledge with creative application.

Management as a Science:

- **Systematized Body of Knowledge:** It has established theories and principles (e.g., Taylor's or Fayol's principles).
- **Universal Validity:** Basic principles (like division of work) apply universally across different organizations.
- **Cause and Effect Relationship:** For example, lack of planning (cause) leads to poor execution (effect).

Management as an Art:

- **Practical Application:** A manager must apply theoretical knowledge to real-world, unpredictable situations.
- **Personalized Approach:** Every manager has a unique style of handling employees and crises.
- **Creativity and Practice:** Management skills improve with practice, experience, and creative problem-solving.

Conclusion: Management is the *oldest of arts and the youngest of sciences*. Science provides the knowledge, while art provides the application.

5. Explain the social responsibility of managers.

Introduction: Corporate Social Responsibility (CSR) refers to a manager's obligation to make decisions and take actions that protect and enhance the welfare of society, alongside protecting the company's own interests.

Responsibilities towards different groups:

- **Towards Shareholders:** Ensure a fair return on investment, transparency, and business growth.
- **Towards Employees:** Provide fair wages, safe working conditions, job security, and respect for labor rights.
- **Towards Consumers:** Supply high-quality goods at reasonable prices, avoid false advertising, and handle grievances quickly.
- **Towards the Government:** Pay taxes honestly, obey laws, and avoid corrupt practices.
- **Towards the Community/Environment:** Implement eco-friendly manufacturing, control pollution, and contribute to local development (e.g., building schools or hospitals).

6. Explain ethics in management.

Introduction: Managerial ethics are the moral principles and rules of conduct that guide managers in deciding what is “right” or “wrong” in a business context.

Key Elements of Management Ethics:

- **Integrity and Honesty:** Keeping promises to clients and employees.
- **Fairness:** Treating all employees equally without discrimination (gender, race, religion).
- **Transparency:** Keeping accurate financial records and communicating openly with stakeholders.
- **Compliance:** Adhering to environmental laws and labor regulations.

Importance: Ethical management builds trust, creates a positive workplace culture, prevents legal troubles, and builds long-term brand loyalty. *Example:* Refusing to use child labor in the supply chain, even if it is cheaper.

7. Explain decision-making under uncertainty.

Introduction: Decision-making under uncertainty occurs when a manager cannot assign objective probabilities to the potential outcomes of their choices because the environment is unpredictable (e.g., launching a completely new, innovative product).

Common Techniques/Criteria used:

- **Maximax Criterion (Optimistic):** The manager assumes the best possible outcome will happen and chooses the alternative with the highest maximum payoff.
- **Maximin Criterion (Pessimistic):** The manager assumes the worst will happen, looks at the worst possible payoffs for each choice, and selects the “best of the worst” (minimizing risk).
- **Minimax Regret Criterion:** The manager makes a choice that minimizes the maximum “regret” (opportunity loss) they would feel for not picking the absolute best option in hindsight.
- **Laplace Criterion:** Assuming all outcomes are equally likely, the manager calculates the average payoff for each alternative and chooses the highest.

8. Discuss barriers to effective planning.

Introduction: Planning is looking ahead, but several obstacles can make plans fail or prevent them from being formulated correctly.

Internal Barriers:

- **Lack of Accurate Data:** Forecasting requires good data; garbage in means garbage out.
- **Psychological Barriers (Rigidity):** Managers may be trapped by past success and refuse to change traditional methods.
- **Resource Constraints:** Lack of budget, skilled labor, or technology to execute the plan.
- **Lack of Commitment:** Top management sets plans, but lower-level employees don't buy into them.

External Barriers:

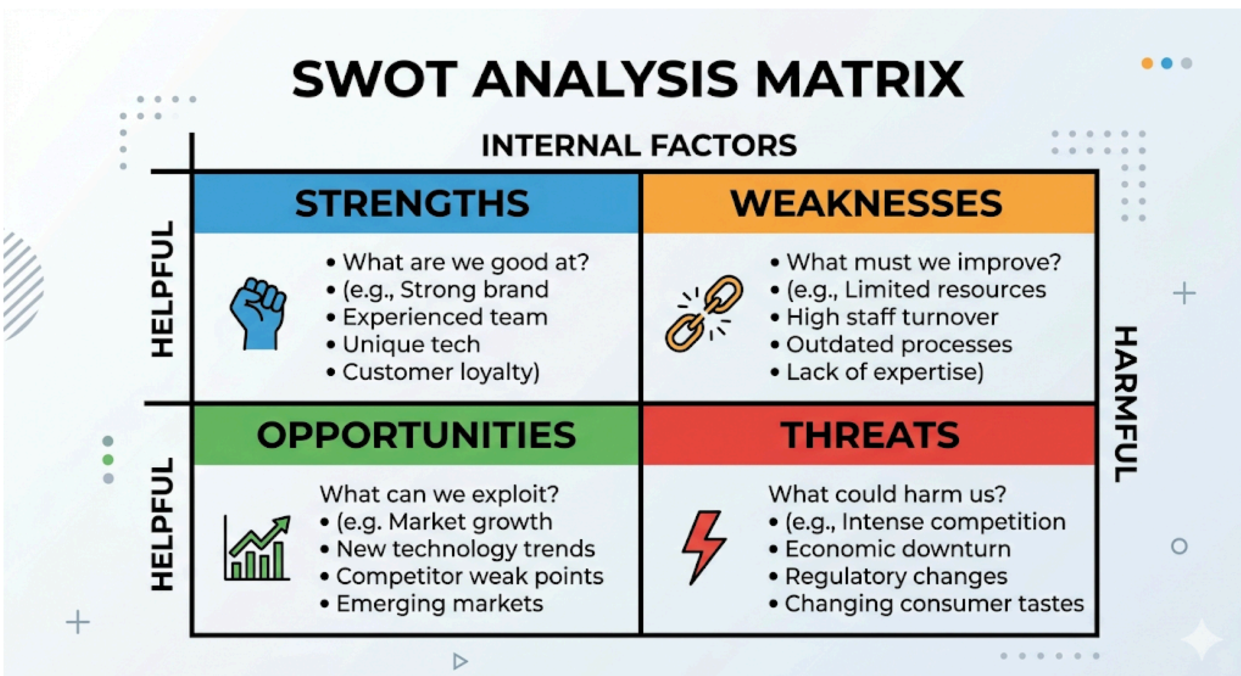
- **Dynamic Environment:** Rapid technological changes can make a 5-year plan obsolete in 6 months.
- **Government Policies:** Sudden changes in taxes, import duties, or regulations.
- **Competitor Actions:** Unexpected price drops or new product launches by rivals.

9. Explain SWOT analysis.

Introduction: SWOT analysis is a foundational strategic planning tool used to evaluate a company's competitive position by analyzing internal and external factors.

The Four Quadrants:

- **Strengths (Internal, Helpful):** What the company does well. *Examples:* Strong brand name, patented technology, high cash reserves.
- **Weaknesses (Internal, Harmful):** Areas needing improvement. *Examples:* Outdated machinery, high employee turnover, poor supply chain.
- **Opportunities (External, Helpful):** External trends the company can exploit. *Examples:* A competitor going bankrupt, new emerging markets, favorable government policies.
- **Threats (External, Harmful):** External factors that could harm the business. *Examples:* New, strict environmental regulations, economic recession, rising raw material costs.



10. Discuss centralization vs decentralization.

Introduction: This refers to where decision-making authority is concentrated in an organization. Centralization means authority rests at the top; decentralization means authority is delegated down the chain of command.

Feature	Centralization	Decentralization
Decision Making	Concentrated at top management	Delegated to middle and lower levels
Speed of Action	Slow (decisions must travel up/down)	Fast (decisions made at the point of action)
Employee Motivation	Lower (employees just follow orders)	Higher (employees feel empowered)
Suitability	Small organizations, crisis situations	Large, complex, multinational organizations
Burden on Top Execs	High (involved in daily operations)	Low (free to focus on strategy)

11. Explain strategic planning.

Introduction: Strategic planning is the long-term, comprehensive process undertaken by top management to determine the organization's overall vision, mission, and long-term goals, and the strategies to achieve them.

Key Steps in the Process:

1. **Defining Vision and Mission:** What is our core purpose and where do we want to be in 5-10 years?
2. **Environmental Scanning:** Conducting SWOT and PESTLE (Political, Economic, Social, Tech, Legal, Environmental) analysis.
3. **Strategy Formulation:** Deciding on the plan (e.g., entering a new market, acquiring a competitor, or focusing on cost leadership).
4. **Strategy Implementation:** Allocating budgets, restructuring the organization, and assigning leadership to execute the plan.
5. **Evaluation and Control:** Monitoring progress and adjusting the strategy as the market changes.

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12. Discuss the planning-control relationship.

Introduction: Planning and controlling are often called the "Siamese twins of management." They are inseparable; you cannot have one without the other.

The Relationship:

- **Planning is the basis of control:** Planning sets the goals, budgets, and standards. Without a plan, there is nothing to measure performance against. (You can't know if you are off track if you don't have a destination).
- **Control ensures planning succeeds:** Control is the process of measuring actual performance against the planned standards, finding deviations, and taking corrective action.
- **Feedback Loop:** Controlling provides data and feedback that managers use to formulate *future* plans.

Summary quote for exam: “Planning without control is meaningless, and control without planning is blind.”

13. Explain MBO concept.

Introduction: Management by Objectives (MBO), coined by Peter Drucker, is a collaborative goal-setting process where managers and subordinates jointly identify common goals and define each individual’s major areas of responsibility.

The MBO Cycle:

1. **Goal Setting:** Top management sets organizational goals, which are then cascaded down. Managers and employees sit together to set specific, measurable, time-bound goals for the employee.
2. **Action Planning:** Developing a step-by-step plan on how the employee will achieve these goals.
3. **Periodic Review:** Meeting regularly (e.g., quarterly) to check progress and remove roadblocks.
4. **Performance Appraisal:** At the end of the year, evaluating the employee strictly based on whether they achieved the agreed-upon objectives, rather than subjective traits.

Benefit: It shifts the focus from “working hard” (activity) to “getting results” (productivity) and highly motivates employees because they helped set their own goals.

14. Explain the concept of organizational change and its importance in modern organizations.

Introduction: Organizational change is the process by which a company alters its structure, strategies, operational methods, technologies, or culture to adapt to the internal or external environment.

Importance in Modern Organizations:

- **Technological Advancements:** Companies must adopt AI, automation, and new software to remain efficient (e.g., shifting from manual accounting to ERP systems).
- **Competitive Survival:** Markets change rapidly. If a company doesn’t innovate its products or processes, competitors will take its market share (e.g., Blockbuster failing to change, while Netflix adapted).
- **Changing Customer Demands:** Evolving to meet new consumer preferences (e.g., auto manufacturers pivoting to electric vehicles).
- **Crisis Management:** Adapting to sudden shocks like economic downturns, supply chain disruptions, or global pandemics.
- **Organizational Growth:** As a company expands from local to global, it must change its structure from a simple hierarchy to a matrix or decentralized structure.

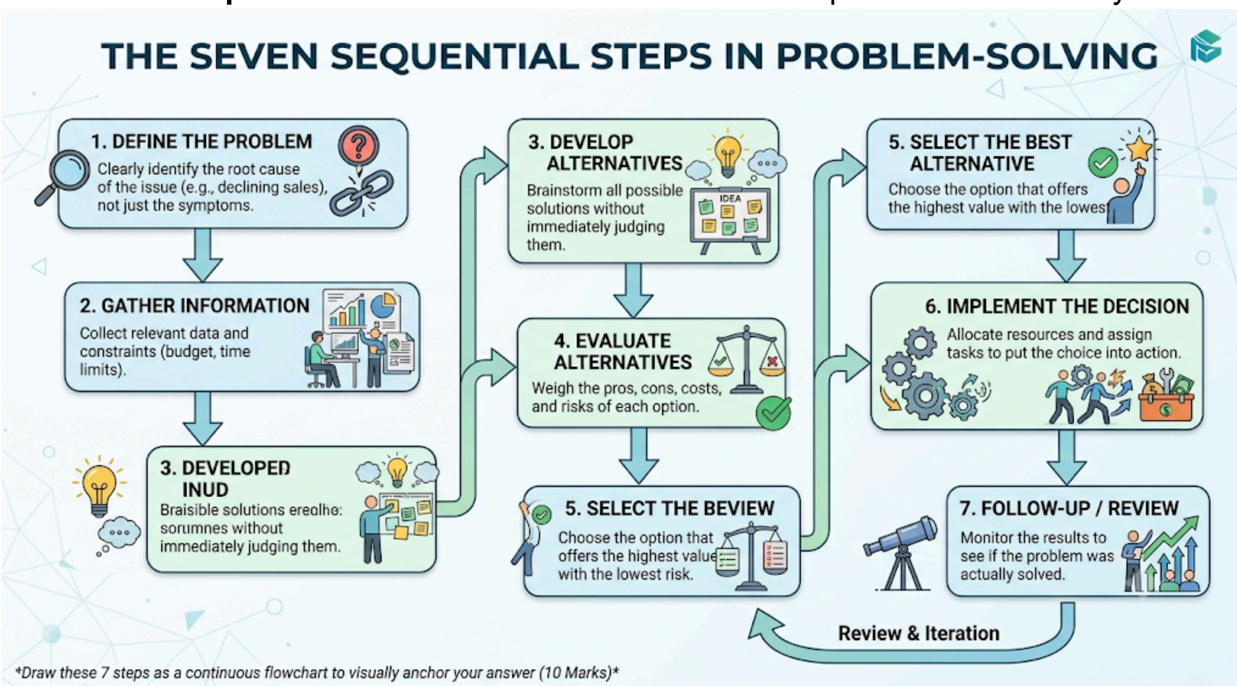
15. Explain the decision-making process.

Introduction: Decision-making is the logical sequence of steps a manager takes to choose the best alternative among multiple options to solve a specific problem or seize an opportunity.

The Sequential Steps:

1. **Define the Problem:** Clearly identify the root cause of the issue (e.g., declining sales), not just the symptoms.

2. **Gather Information:** Collect relevant data and constraints (budget, time limits).
3. **Develop Alternatives:** Brainstorm all possible solutions without immediately judging them.
4. **Evaluate Alternatives:** Weigh the pros, cons, costs, and risks of each option.
5. **Select the Best Alternative:** Choose the option that offers the highest value with the lowest risk.
6. **Implement the Decision:** Allocate resources and assign tasks to put the choice into action.
7. **Follow-up/Review:** Monitor the results to see if the problem was actually solved.



16. Explain leadership styles.

Introduction: Leadership style is the behavioral approach a manager uses to direct, motivate, and manage their team. Different situations require different styles.

The Three Primary Styles:

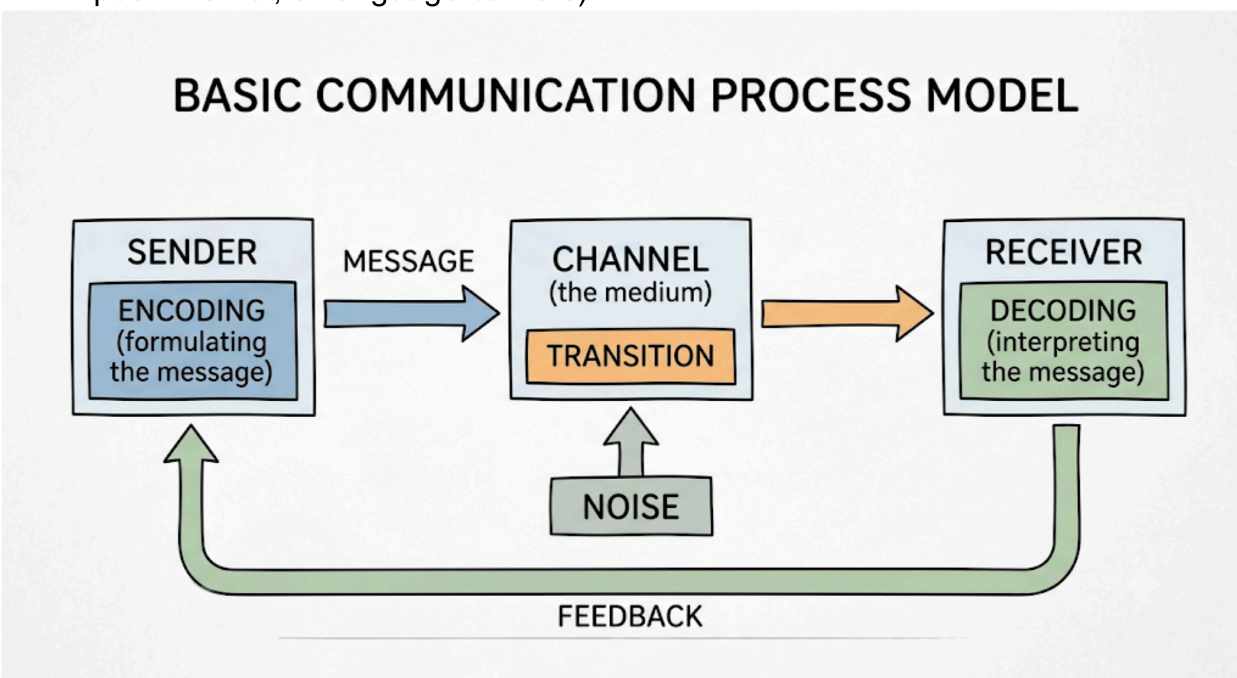
- **Autocratic (Authoritarian) Style:** The leader makes all decisions without consulting the team. Communication is strictly top-down.
  - *Best for:* Crisis situations or dealing with unskilled/untrained labor.
- **Democratic (Participative) Style:** The leader involves subordinates in the decision-making process, though the final say remains with the leader.
  - *Best for:* Boosting team morale, encouraging innovation, and working with experienced staff.
- **Laissez-Faire (Free-Rein) Style:** The leader provides tools and resources but gives the team complete freedom to make decisions and solve problems on their own.
  - *Best for:* Highly skilled, self-motivated professionals (like R&D scientists or creative teams).

17. Explain communication process.

Introduction: Communication is the continuous process of transferring information, ideas, and understanding from one person to another.

Elements of the Process:

1. **Sender:** The source of the idea.
2. **Encoding:** Converting the idea into words, symbols, or gestures.
3. **Message:** The actual physical product of encoding (the email, the speech).
4. **Channel/Medium:** The method used to transmit the message (face-to-face, phone, memo).
5. **Receiver:** The person to whom the message is directed.
6. **Decoding:** The receiver translating the message into an understandable concept.
7. **Feedback:** The receiver's response, confirming the message was understood.
8. **Noise:** Any disturbance that distorts the message (e.g., actual background noise, poor internet, or language barriers).



18. Discuss brainstorming technique.

Introduction: Brainstorming is a group creativity technique designed to generate a massive number of ideas to solve a specific problem. It was popularized by Alex Osborn.

Key Rules of Brainstorming:

- **Defer Judgment:** No criticism or evaluation is allowed during the idea-generation phase. Fear of criticism kills creativity.
- **Quantity over Quality:** The goal is to produce as many ideas as possible.
- **Encourage Wild Ideas:** "Outside the box" or seemingly crazy ideas are welcomed, as they often lead to breakthrough solutions.
- **Combine and Improve:** Participants are encouraged to build on the ideas of others (piggybacking).

Application: Highly effective for marketing campaigns, product design, and strategic planning.

19. Explain barriers to communication.

Introduction: Barriers are obstacles that distort, delay, or completely prevent the successful transfer of a message from the sender to the receiver.

Categories of Barriers:

- **Physical Barriers:** Environmental factors like loud factory noise, closed doors, or poor internet connection.
- **Semantic (Language) Barriers:** Misunderstandings caused by using highly technical jargon, ambiguous words, or poorly translated documents.
- **Psychological/Emotional Barriers:** If a receiver is highly stressed, angry, or has preconceived prejudices against the sender, they will not process the message accurately.
- **Organizational Barriers:** A very tall hierarchy (too many management layers) causes messages to get filtered and distorted as they travel up or down the chain.

20. Discuss the role of electronic media in modern organizational communication.

Introduction: Electronic media (emails, instant messaging, intranets, and video conferencing) has fundamentally transformed how organizations operate, making global business possible.

Key Roles and Impacts:

- **Speed and Efficiency:** Information is disseminated instantly, regardless of geographical boundaries, drastically reducing decision-making time.
- **Mass Communication:** A CEO can address thousands of employees globally at the exact same time via webcasts or mass emails.
- **Permanent Record:** Digital communication leaves a searchable trail, making it easier to track accountability, retrieve old files, and maintain compliance.
- **Remote Collaboration:** Cloud platforms and video software allow decentralized teams to work on the exact same project simultaneously.
- *Caveat:* It can lead to “information overload” and a loss of personal, face-to-face connection.

21. Explain manpower planning.

Introduction: Manpower Planning (or Human Resource Planning) is the continuous process of estimating the optimum number of people, with the right skills, required to run the organization effectively.

Key Steps:

1. **Forecasting Demand:** Predicting how many workers will be needed in the future based on company growth and production goals.
2. **Forecasting Supply:** Evaluating the current workforce (who is retiring, who is getting promoted).
3. **Identifying the Gap:** Comparing demand and supply to find out if there is a talent shortage or a surplus.
4. **Action Plan:** If there is a shortage, initiate recruitment and training. If there is a surplus, initiate redeployment, early retirement, or layoffs.

22. Explain training and development.

Introduction: Both are methods used to improve employee performance, but they serve different timeframes and purposes within the organization.

Training (Short-Term):

- **Focus:** Improving specific skills for the *current* job.
- **Target:** Usually lower or middle-level operational employees.
- **Example:** Teaching a machine operator how to use a newly installed CNC machine.

Development (Long-Term):

- **Focus:** Overall growth and preparing an employee for *future* responsibilities and challenges.
- **Target:** Usually managerial or executive personnel.
- **Example:** Sending a mid-level manager to a leadership seminar to prepare them for a VP role.

Methods: Can be *On-the-job* (job rotation, mentoring) or *Off-the-job* (classroom lectures, simulations).

23. Define CIM and explain its importance.

Introduction: Computer-Integrated Manufacturing (CIM) is an advanced manufacturing approach where computers control and automate the entire production process, integrating all business and engineering functions.

Core Importance:

- **Total Integration:** It seamlessly links Computer-Aided Design (CAD), Computer-Aided Engineering (CAE), and Computer-Aided Manufacturing (CAM) into one continuous digital flow.
- **Error Reduction:** Because data flows directly from design to the manufacturing machines without manual data entry, human error is drastically reduced.
- **Speed to Market:** Greatly reduces the lead time from a product's initial concept to the final manufactured good.
- **Flexibility:** Allows factories to quickly reprogram machines to switch from making one product to another, supporting customized manufacturing.

24. Explain the concept of morale building and its impact on organizational productivity.

Introduction: Morale refers to the psychological state, enthusiasm, and collective attitude of employees toward their work environment, their colleagues, and management.

How to Build Morale: Creating open communication, providing fair compensation, recognizing hard work, ensuring job security, and offering a safe, pleasant working environment.

Impact on Productivity:

- **High Morale:** Leads to lower absenteeism, lower employee turnover, fewer workplace accidents, and higher quality output because employees actually *care* about the company's success.
- **Low Morale:** Results in lethargy, high error rates, strikes, and toxic workplace politics.

- *Note:* High morale does not *guarantee* high productivity (an employee can be happy but lack skills), but it creates the optimal environment for maximum efficiency.

25. Discuss the benefits and challenges of implementing CIM in modern manufacturing organizations.

Introduction: While Computer-Integrated Manufacturing (CIM) represents the pinnacle of modern factory automation, transitioning to it is a massive organizational undertaking.

Benefits:

- **Consistent Quality:** Automated machines perform tasks with a precision and repeatability that humans cannot match.
- **Reduced Inventory:** Integrates well with Just-In-Time (JIT) systems, lowering warehousing costs.
- **Higher Efficiency:** Machines can run 24/7 with minimal lighting or climate control ("lights-out manufacturing").

Challenges:

- **Massive Capital Investment:** The initial cost of software, robots, and automated guided vehicles (AGVs) is staggeringly high.
- **Skill Gaps:** Requires replacing traditional manual laborers with highly paid software engineers and maintenance technicians.
- **Maintenance Downtime:** If the central computer network goes down, the entire factory stops.
- **Employee Resistance:** The shift heavily automates tasks, leading to fear of job losses and union pushback.

10 MARKS

1. Who is the father of modern management? Discuss his principles in detail.

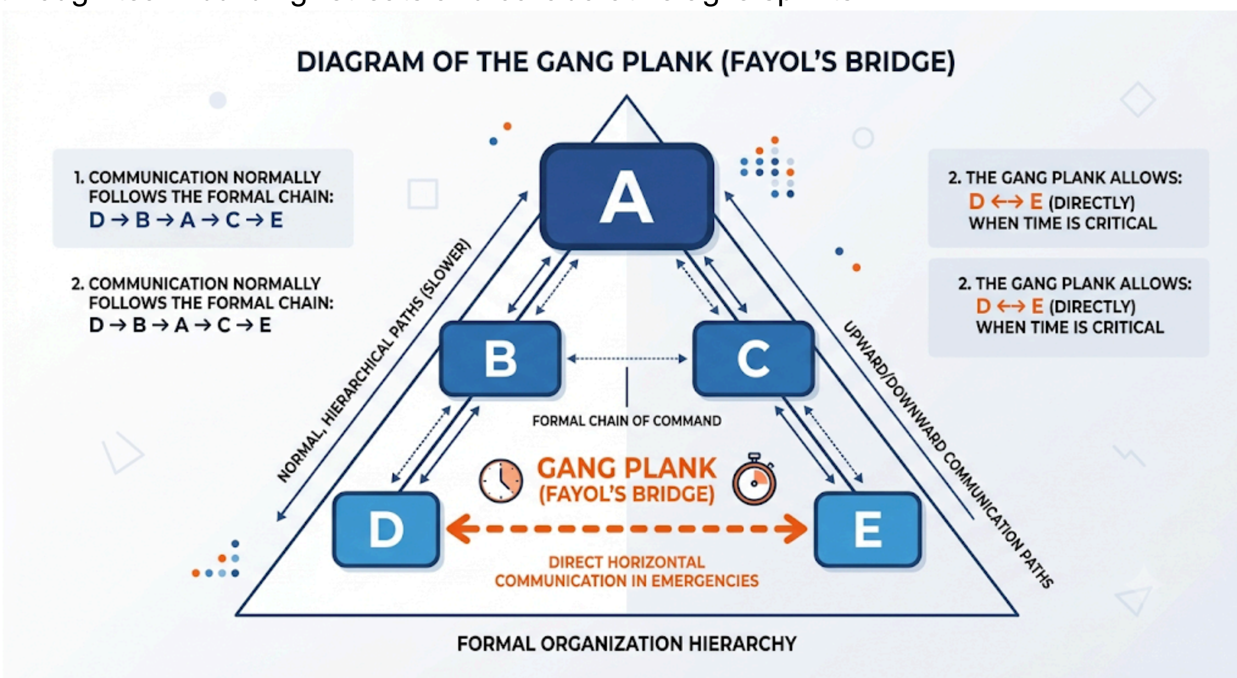
Introduction: Henri Fayol is recognized as the "Father of Modern Management" (or Administrative Management). While F.W. Taylor focused on the factory floor and worker efficiency, Fayol looked at the organization from the top down, focusing on how managers should manage.

The 14 Principles of Management:

1. **Division of Work:** Specialization increases output by making employees more efficient.
2. **Authority and Responsibility:** Managers must have the authority to give orders, but this must be balanced with responsibility for the outcomes.
3. **Discipline:** Employees must obey and respect the rules that govern the organization.
4. **Unity of Command:** An employee should receive orders from one, and only one, superior to avoid conflicting instructions.
5. **Unity of Direction:** Teams with the same objective should be working under the direction of one manager, using one plan.
6. **Subordination of Individual Interest:** The interests of the company must come before the interests of any one individual.
7. **Remuneration:** Workers must be paid fairly for their services.

8. **Centralization vs. Decentralization:** Finding the right balance of decision-making authority based on the company's size and the workers' capabilities.
9. **Scalar Chain:** The line of authority from top management to the lowest ranks. Communications should follow this chain.
10. **Order:** People and materials should be in the right place at the right time.
11. **Equity:** Managers should be kind and fair to their subordinates.
12. **Stability of Tenure:** High employee turnover is inefficient. Management should provide orderly personnel planning.
13. **Initiative:** Employees should be allowed to originate and carry out plans.
14. **Esprit de Corps:** Promoting team spirit will build harmony and unity.

- **Real-World Example:** In a modern software company, **Division of Work** is seen when separating front-end and back-end developers. **Esprit de Corps** is built through team-building retreats and collaborative agile sprints.



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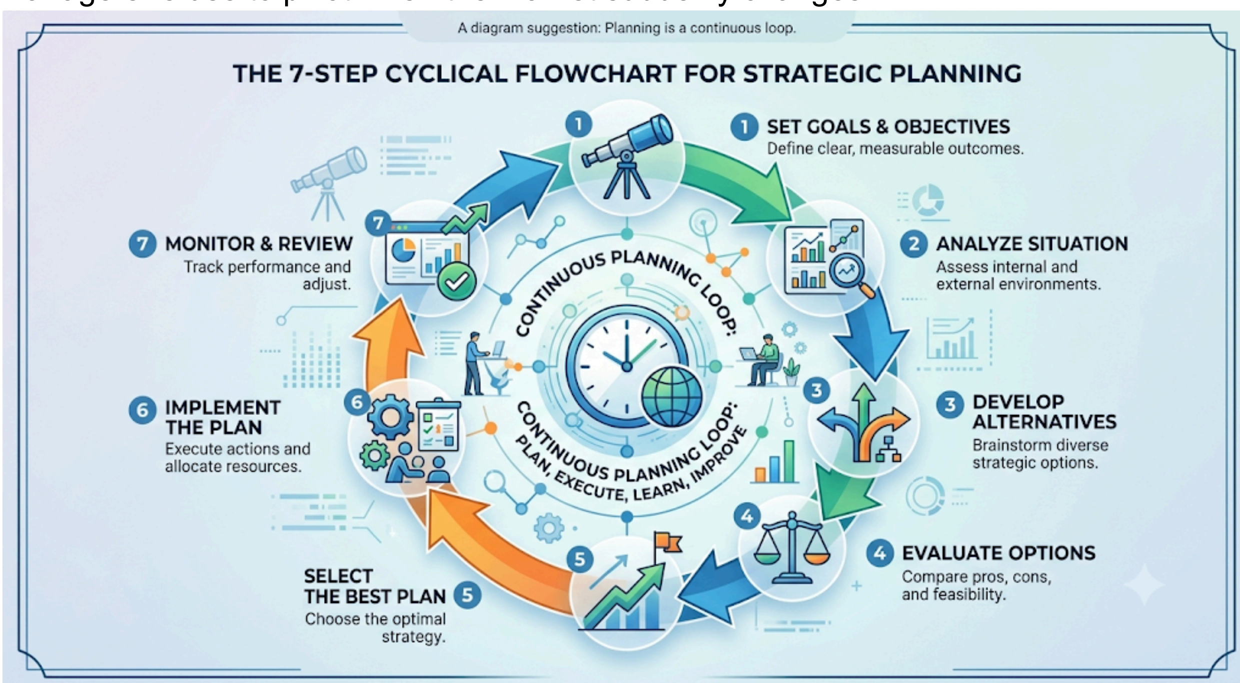
2. Explain the planning process in detail.

Introduction: Planning is the fundamental management function that involves deciding beforehand what is to be done, when, how, and by whom. It bridges the gap from where an organization is to where it wants to be.

The Planning Process (Step-by-Step):

1. **Setting Objectives:** Establishing clear, measurable, and time-bound goals for the entire organization and each department (e.g., "Increase market share by 10% in Q4").
2. **Developing Premises:** Making assumptions about the future environment. This involves forecasting economic conditions, competitor actions, and government policies.

3. **Identifying Alternatives:** Brainstorming various courses of action to achieve the objectives. (e.g., To increase sales, do we spend more on marketing, drop prices, or launch a new product?)
4. **Evaluating Alternatives:** Weighing the pros, cons, costs, and risks of each option against the organizational goals.
5. **Selecting the Best Course of Action:** The actual point of decision-making where the most profitable and feasible plan is adopted.
6. **Formulating Derivative Plans:** Creating secondary plans to support the main plan (e.g., a hiring plan or a raw material purchasing plan).
7. **Implementing and Follow-up:** Putting the plan into action and constantly monitoring it to ensure it is achieving the desired results.

- **Real-World Example:** An automaker planning to launch an EV. *Premise:* Assuming battery costs will drop. *Alternatives:* Build batteries in-house vs. buy from a supplier. *Derivative plan:* Training mechanics on EV repair.
- **Challenges:** Planning is highly time-consuming, costly, and can create rigidity if managers refuse to pivot when the market suddenly changes.
- 

3. Discuss the relationship between planning and controlling. Explain how effective control systems improve organizational performance.

Introduction: Planning and controlling are the “Siamese twins” of management. They are inextricably linked; planning sets the target, and controlling acts as the steering wheel to keep the organization on track.

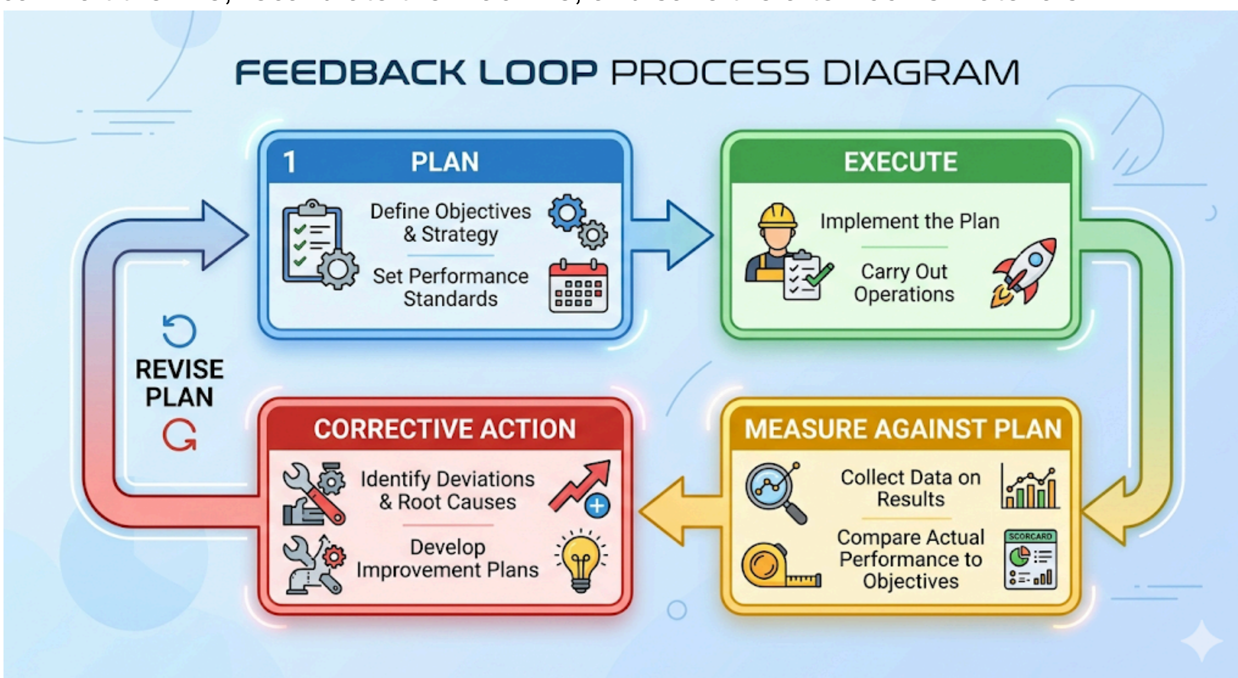
The Relationship:

- **Planning establishes standards:** Without a plan, there is no benchmark to measure performance. Control needs planning to exist.
- **Controlling ensures planning succeeds:** A plan is just a piece of paper until control mechanisms measure actual progress against it.

- **Forward and Backward Looking:** Controlling is backward-looking (evaluating past performance) but also forward-looking (using that data to improve *future* planning).

How Effective Control Improves Performance:

1. **Detects Deviations Early:** Allows managers to fix small issues before they become catastrophic failures.
2. **Resource Optimization:** Ensures that men, money, and materials are not being wasted.
3. **Improves Employee Motivation:** A fair and transparent control system (like a good performance appraisal) motivates employees to meet standards.
4. **Facilitates Decentralization:** Top managers can confidently delegate authority if they have strong control systems (like daily automated reports) to monitor middle managers.

- **Real-World Example:** A factory plans to produce 1,000 units a day with a defect rate of <1%. If the control system detects a 4% defect rate by noon, the manager can halt the line, recalibrate the machine, and save the afternoon's materials.
- 

4. Discuss McKinsey 7S approach and its relevance in planning.

Introduction: Developed by consultants at McKinsey & Company (including Tom Peters), the 7S framework is a holistic model that analyzes seven internal elements of an organization to ensure they are aligned and mutually reinforcing.

The Core Concepts (The 7 Ss):

- **Hard Elements (Easier for management to identify and directly influence):**
    1. **Strategy:** The plan devised to maintain and build competitive advantage.
    2. **Structure:** The way the organization is organized (who reports to whom).
    3. **Systems:** The daily activities, procedures, and IT infrastructure used to get the job done.

- **Soft Elements (More difficult to describe, heavily influenced by corporate culture):**
    4. **Shared Values (The Core):** The fundamental core values and work ethic of the company.
    5. **Style:** The leadership style adopted by management.
    6. **Staff:** The employees and their general capabilities.
    7. **Skills:** The actual competencies and distinct skills of the workforce.

Relevance in Planning: When managers plan a massive change (like a merger or launching a new product line), they often only plan the “Hard Ss” (buying new software or restructuring the org chart). The 7S model forces planners to recognize that if the “Soft Ss” (culture, skills, leadership style) don’t align with the new strategy, the plan will fail.

- **Real-World Example:** If a traditional brick-and-mortar bank plans to become an agile Fintech company, it can’t just change its *Systems* (building an app). It must change its *Skills* (hiring software devs instead of tellers) and its *Style* (moving from rigid bureaucracy to agile leadership).
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5. Discuss the Hawthorne experiments and their significance in management.

Introduction: Conducted by Elton Mayo in the 1920s and 30s at the Western Electric Company’s Hawthorne plant, these experiments fundamentally shifted management theory from the rigid “Classical/Scientific” approach to the “Human Relations” approach.

The Experiments:

1. **Illumination Experiments:** Researchers changed factory lighting to see the effect on productivity. *Result:* Productivity went up whether lighting was increased *or* decreased.

2. **Relay Assembly Test Room:** Isolated a small group of women, changed their working hours and rest breaks. *Result:* Output continually increased regardless of the physical changes.
3. **Mass Interviewing Programme:** Interviewed over 20,000 workers. *Result:* Discovered that complaints were often symptoms of deeper psychological or social dissatisfaction, not just physical conditions.
4. **Bank Wiring Observation Room:** Observed a group of men without making changes. *Result:* Found that workers established their own informal social rules and "output quotas," intentionally restricting production to protect slower peers from being fired.

Significance in Management:

- **The Hawthorne Effect:** Workers improve their performance simply because they feel management is paying attention to them and cares about them.
- **Social Needs Over Money:** Humans are social beings. Belonging to a group and feeling respected often motivates them more than financial incentives.
- **Informal Organization:** Managers learned they must understand the "informal" friend groups and leaders within the factory, as they dictate actual worker behavior more than the official company rules.
- **Real-World Example:** Modern tech companies provide lounges, free food, and flat hierarchies because they understand Mayo's conclusion: a socially satisfied and psychologically secure worker is a highly productive worker.

6. Explain decision-making process and types of decisions.

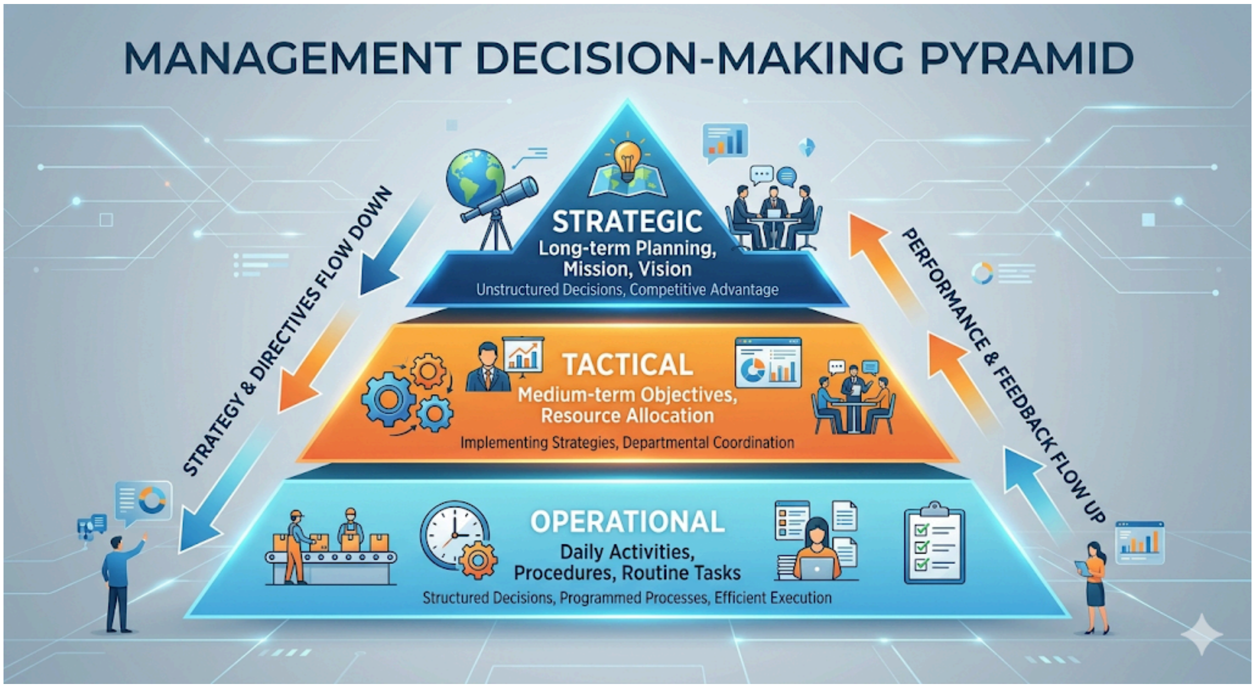
Introduction: Decision-making is the cognitive process of selecting a logical choice from available options. It is the core of a manager's daily life.

The Decision-Making Process: *(See your 5-mark Question 15 for the 7 steps: Define Problem -> Gather Info -> Develop Alternatives -> Evaluate -> Select -> Implement -> Review. Expand slightly on each for 10 marks).*

Types of Decisions:

1. **Programmed vs. Non-Programmed:**
   - *Programmed:* Routine, repetitive decisions handled by established rules or policies (e.g., approving standard employee leave, reordering printer paper). Handled by lower management.
   - *Non-Programmed:* Unique, complex, and unstructured situations requiring custom solutions (e.g., how to respond to a global pandemic, acquiring a rival company). Handled by top management.
2. **Strategic vs. Tactical vs. Operational:**
   - *Strategic:* Long-term choices affecting the whole company (e.g., entering the European market).
   - *Tactical:* Medium-term choices on how to implement strategy (e.g., budget allocation for the European marketing campaign).
   - *Operational:* Day-to-day choices (e.g., assigning shifts to marketing staff).
3. **Individual vs. Group:** Made by a single manager vs. made by a committee/board.

- **Real-World Example:** An airline dealing with a passenger who has a slightly overweight bag makes a *programmed operational decision* (charge a $50 fee based on policy). The CEO deciding to buy 50 new Boeing jets makes a *non-programmed strategic decision*.

- 

7. Discuss organizing process and organization structure.

Introduction: Organizing is the process of defining and grouping activities, and establishing authority relationships among them. It transforms a plan into reality by arranging resources.

The Organizing Process:

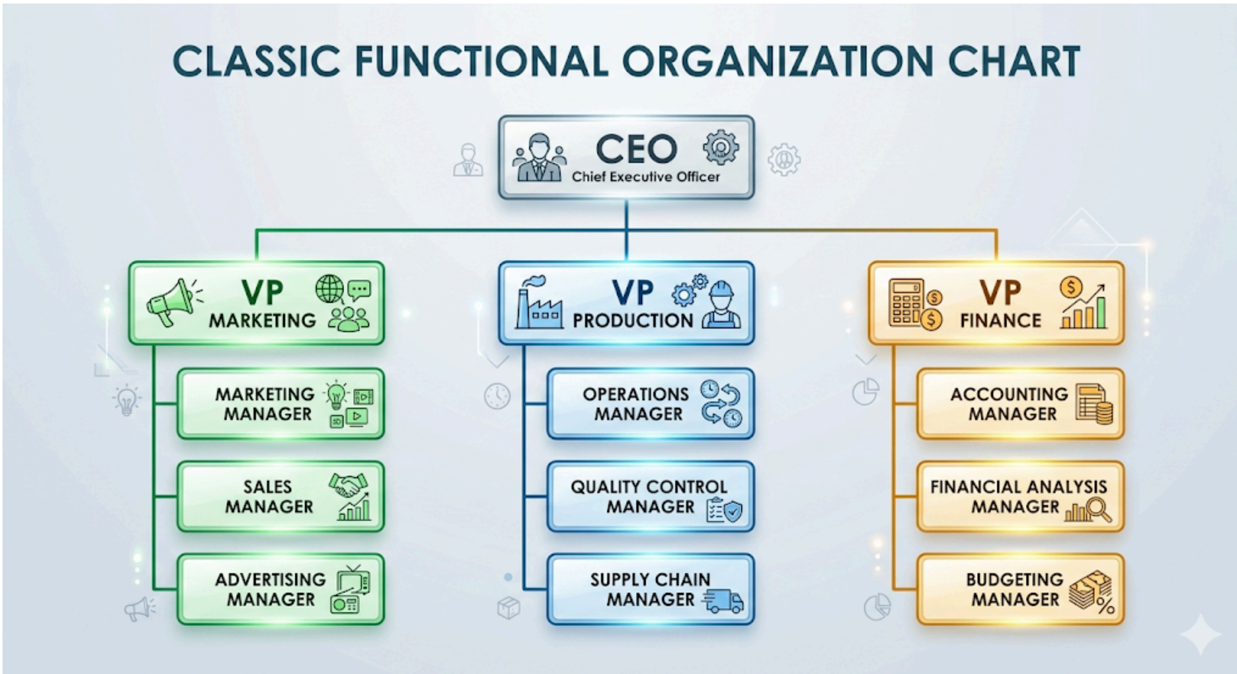
1. **Identification of Activities:** Listing everything that needs to be done to achieve the plan (e.g., purchasing, manufacturing, marketing, accounting).
2. **Departmentalization:** Grouping similar or related activities together into departments (e.g., putting all financial tasks into the Finance Department).
3. **Assignment of Duties:** Allocating these grouped activities to specific individuals based on their skills.
4. **Delegating Authority:** Giving employees the power and resources necessary to carry out their assigned duties.
5. **Coordinating Relationships:** Establishing clear reporting lines (who reports to whom) to ensure smooth operations.

Types of Organization Structures:

- **Functional Structure:** Grouped by specialty (Marketing, HR, Finance). *Advantage:* Deep expertise. *Challenge:* “Silo” mentality where departments don’t communicate.
- **Divisional Structure:** Grouped by product, region, or customer type. (e.g., a car company with an SUV division, a Sedan division, and a Truck division). *Advantage:* Focused on specific markets. *Challenge:* Duplication of resources (each division has its own HR).
- **Matrix Structure:** A hybrid where employees have dual reporting relationships—typically to a functional manager and a project manager.

Advantage: Highly flexible. *Challenge:* Violates Fayol's "Unity of Command," causing employee confusion.

- **Real-World Example:** Apple uses a heavily Functional structure (hardware, software, services are separate), whereas a company like Johnson & Johnson uses a Divisional structure (Pharmaceuticals, Medical Devices, Consumer Health operating almost as separate companies).



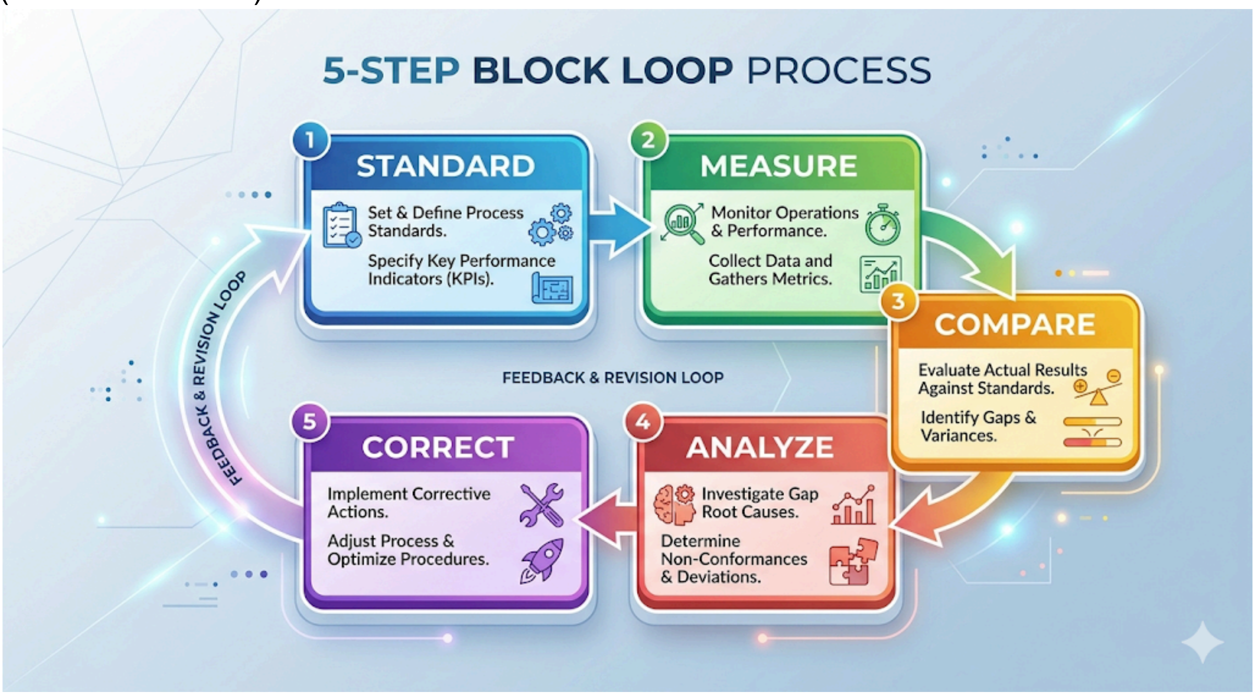
8. Explain the controlling process and its importance.

Introduction: Controlling is the management function that involves measuring actual performance against established standards and taking corrective action if there are deviations. It ensures that organizational goals are actually met.

The Controlling Process (Step-by-Step):

1. **Establish Standards:** Setting measurable targets based on the planning phase (e.g., "produce 500 lines of bug-free code per week" or "maintain a 2% defect rate").
2. **Measure Actual Performance:** Gathering data on what is actually happening. This can be done through observation, statistical reports, or automated dashboards.
3. **Compare Actual vs. Standard:** Analyzing the gap between what was planned and what was achieved.
4. **Analyze Deviations:** Not all deviations require action. Managers use "Management by Exception"—only stepping in if the deviation crosses an acceptable tolerance limit. *Why did it happen?* Was the machine faulty, or was the target unrealistic?
5. **Take Corrective Action:** Fixing the root cause. This could mean training employees, replacing a machine, or revising the original plan.

Importance of Controlling:

- **Facilitates Goal Achievement:** Keeps activities aligned with organizational plans.
- **Judges Accuracy of Standards:** Helps management realize if their initial goals were too easy or impossible to hit.
- **Ensures Resource Efficiency:** Minimizes waste and spoilage.
- **Improves Employee Motivation:** A fair control system gives employees clear expectations and transparent feedback.
- **Real-World Example:** A software development manager expects a feature to be built in 10 days (Standard). On day 5, only 20% is done (Measurement/Comparison). The manager investigates and finds the API documentation is poor (Analysis), so they assign a senior developer to help (Corrective Action).
- 

9. Explain the various techniques of decision-making under certainty, risk, and uncertainty with suitable examples.

Introduction: Managers make decisions in three distinct environments, dictated by how much information they have about the future outcomes of their choices.

1. Decision-Making Under Certainty:

- **Concept:** The manager knows exactly what the outcome of each alternative will be. It is purely deterministic.
- **Techniques:** Linear Programming, Inventory Models (like EOQ), Cost-Benefit Analysis.
- **Example:** A manager has $10,000 to invest. Option A is a government bond guaranteed to return 5%. Option B is a corporate bond guaranteed to return 4%. The decision is simple and mathematical: choose A.

2. Decision-Making Under Risk:

- **Concept:** The exact outcome is unknown, but the manager has enough historical data to assign *probabilities* to different outcomes.

- **Techniques:** Expected Monetary Value (EMV), Decision Trees.
- **Example:** An insurance company deciding on premiums. They don't know *which* specific client will crash their car, but based on past data, they know there is a 5% probability of accidents among 20-year-olds. They calculate the EMV to set a profitable price.

3. Decision-Making Under Uncertainty:

- **Concept:** The manager has no idea what the outcomes will be and no historical data to calculate probabilities. This usually happens with entirely new innovations or volatile markets.
- **Techniques:**
  - *Maximax:* Optimistic approach (choose the option with the highest possible max payoff).
  - *Maximin:* Pessimistic approach (choose the "best of the worst" to minimize losses).
  - *Laplace:* Assume all outcomes are equally likely and average them.
- **Example:** Launching a completely revolutionary tech product (like the first-ever VR headset). There is no past data on how the market will react, so executives must rely on intuition and uncertainty matrices.

10. Explain centralization and decentralization with examples.

Introduction: This concept revolves around the locus of decision-making authority within the corporate hierarchy. No organization is 100% centralized or decentralized; it exists on a continuum.

Centralization:

- **Concept:** Authority is concentrated at the very top of the organization. Lower-level managers simply execute orders.
- **Advantages:** Ensures uniform policies across the company, eliminates duplicated work, and is highly effective during a severe crisis where fast, unified action is needed.
- **Challenges:** Overloads top management with minor operational details, slowing down daily decision-making, and kills lower-level employee initiative.
- **Example:** The military is highly centralized. In business, a small startup where the founder approves every single purchase is centralized.

Decentralization:

- **Concept:** Decision-making authority is pushed down the chain of command to middle managers and branch heads.
- **Advantages:** Faster local decision-making, relieves top executives to focus on long-term strategy, and highly empowers/motivates employees.
- **Challenges:** Can lead to inconsistencies across different branches and requires highly skilled, well-trained lower managers.
- **Example:** Johnson & Johnson operates with extreme decentralization. Its hundreds of subsidiary companies (pharmaceuticals, medical devices) operate almost independently with their own CEOs.

11. Explain different leadership styles and evaluate their impact on organizational effectiveness.

Introduction: Leadership style is the recurring pattern of behaviors a manager uses to direct, motivate, and interact with their team.

1. Autocratic (Authoritarian) Leadership:

- **Concept:** Leader retains all decision-making power. "Do as I say."
- **Impact:** Highly effective in crises or with unskilled labor. However, it creates a culture of fear, kills creativity, and results in high employee turnover.

2. Democratic (Participative) Leadership:

- **Concept:** Leader consults the team, encourages discussion, and factors team input into the final decision.
- **Impact:** Significantly improves organizational effectiveness by boosting morale, generating innovative ideas, and building trust. The downside is that decision-making takes much longer.

3. Laissez-Faire (Free-Rein) Leadership:

- **Concept:** Leader provides resources but gives the team total freedom to make decisions.
- **Impact:** Excellent for highly skilled, self-motivated experts (like R&D scientists or senior developers). However, if used with inexperienced teams, it leads to chaos and missed deadlines.

4. Transformational Leadership (Bonus for 10 marks):

- **Concept:** Leaders inspire and motivate employees to exceed their own self-interest for the good of the organization through a powerful vision.
- **Impact:** Drives massive organizational change and high performance.

12. Explain the communication process and modern communication tools.

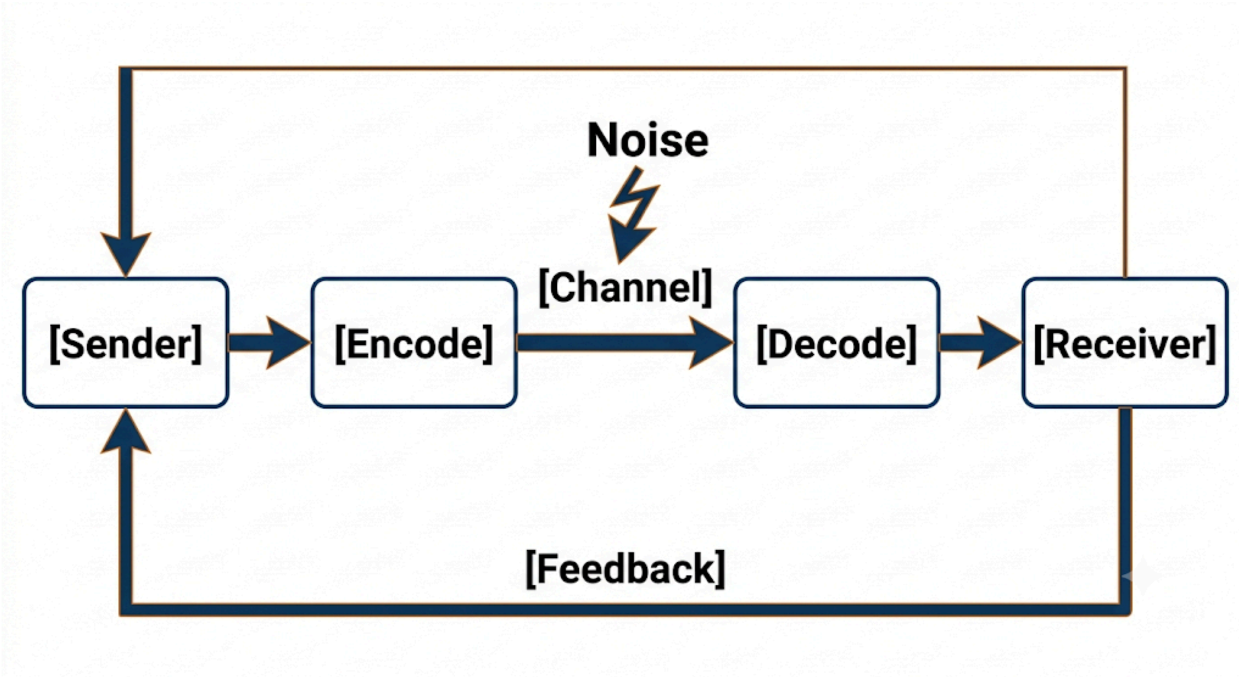
Introduction: Communication is the lifeblood of an organization. It is the continuous process of transmitting meaning and understanding from a sender to a receiver.

The Communication Process: *(List the steps briefly: Sender -> Encoding -> Message -> Channel -> Decoding -> Receiver -> Feedback. Mention "Noise" as anything that disrupts this).*

Modern Communication Tools & Their Organizational Impact:

1. **Instant Messaging & Collaboration Hubs (Slack, Microsoft Teams):**
   - *Role:* Replaces informal water-cooler chats and clears out email clutter. Allows for rapid, asynchronous problem-solving.
2. **Video Conferencing (Zoom, Google Meet):**
   - *Role:* Enables the modern remote/hybrid workforce. Provides rich communication (body language and tone) that text lacks, essential for negotiations and team building.
3. **Enterprise Resource Planning (ERP) & Project Management (Jira, Asana):**
   - *Role:* Automates communication between departments. For example, when a sale is made, the ERP automatically communicates the update to inventory, finance, and shipping without a human typing an email.
4. **Intranets and Employee Portals:**

- *Role:* Centralized hubs for official company policies, HR forms, and top-down CEO announcements.



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13. Discuss the concept and process of organizing. Explain the principles of delegation of authority and empowerment.

Organizing Concept & Process: Organizing is creating the structure of the organization. It involves:

1. Identifying tasks.
2. Grouping them (Departmentalization).
3. Assigning duties.
4. Delegating authority.

Principles of Delegation of Authority: Delegation is the downward transfer of authority from a manager to a subordinate. To be effective, it must follow these rules:

- **Principle of Parity of Authority and Responsibility:** If you give a worker the *responsibility* to complete a task, you must give them the exact equal amount of *authority* (resources, budget) to do it.
- **Principle of Absoluteness of Accountability:** A manager can delegate tasks and authority, but they can *never* delegate accountability. If the subordinate fails, the manager is still ultimately responsible to the CEO.
- **Scalar Principle:** There must be a clear, unbroken line of authority from the top to the bottom (the chain of command).

Empowerment: While delegation is about giving someone a specific task, **empowerment** is broader. It means giving employees the autonomy, training, and self-confidence to make independent decisions without constantly asking for permission.

- *Example:* The Ritz-Carlton empowers any frontline employee to spend up to $2,000 to resolve a guest's problem without asking a manager.

14. Explain the role of CIM in modern manufacturing systems.

Introduction: Computer-Integrated Manufacturing (CIM) is the manufacturing approach of using computers to control the entire production process. It breaks down the traditional "silos" of a factory.

The Role of CIM (Core Components):

- **CAD (Computer-Aided Design):** Engineers design products digitally in 3D.
- **CAM (Computer-Aided Manufacturing):** The digital CAD files are sent directly to CNC machines and robotic arms to physically carve/assemble the product without human blueprint reading.
- **CAPP (Computer-Aided Process Planning):** Software determines the most efficient routing of materials through the factory floor.
- **Integration with ERP:** CIM links the factory floor directly to the business side. If a customer orders a car online, the CIM system automatically orders the steel from the supplier and queues the robots.

Impact on Modern Systems:

- **Extreme Flexibility:** Modern factories can practice "Mass Customization." A CIM system can tell a robot to paint one car red and the very next car blue without stopping the assembly line.
- **Drastic Lead-Time Reduction:** Moves products from the design phase to the shipping dock in a fraction of the time.
- **Challenges:** Prohibitively expensive to set up and highly vulnerable to cybersecurity threats or network outages.

15. Discuss different motivational theories and explain how managers can use these theories to improve employee performance.

Introduction: Motivation is the internal drive that directs a person's behavior toward goals. Managers cannot directly force performance; they must create an environment that triggers motivation.

1. Maslow's Hierarchy of Needs:

- *Theory:* Humans have five levels of needs (Physiological, Safety, Social, Esteem, Self-Actualization) and move up the pyramid sequentially.
- *Managerial Use:* A manager must identify where an employee is. You cannot motivate a struggling junior employee with an "Employee of the Month" plaque (Esteem) if they are worried about getting laid off (Safety). First, assure job security, then offer recognition.

2. Herzberg's Two-Factor Theory:

- *Theory:* Divides workplace factors into two buckets:
  - *Hygiene Factors:* Salary, working conditions, company policy. If these are bad, employees are miserable. If they are good, employees are *not* motivated, just "not unhappy."
  - *Motivators:* Challenging work, recognition, responsibility, growth. These actually drive high performance.
- *Managerial Use:* Managers must fix hygiene factors first (pay people fairly). But to get peak performance, they must use "Job Enrichment"—giving employees more autonomy and challenging projects.

3. McGregor’s Theory X and Theory Y:

- *Theory X Managers* believe employees are inherently lazy and must be micromanaged and threatened.
- *Theory Y Managers* believe employees naturally want to work, are creative, and seek responsibility.
- *Managerial Use:* Organizations must train managers to adopt a Theory Y mindset, which leads to decentralized, empowering workplaces (like Google or Microsoft) where innovation thrives.
- **Diagram Suggestion:** Draw a quick sketch of Maslow’s Pyramid (5 tiers) or Herzberg’s scale showing Hygiene vs. Motivator factors.